

In Tally ERP 9, income refers to the revenue generated from a company's core business activities or other sources, and it's a key component of the [income statement](#) (also known as the [profit and loss account](#)). It represents the total earnings before deducting expenses. Income can be further categorized as direct or indirect, depending on its relation to the primary business operations.

Here's a more detailed breakdown:

- **Direct Income:**

This is the revenue earned directly from the main business activity. For example, for a printing business, income from printing services or for a retail store, income from selling goods would be considered direct income.

- **Indirect Income:**

This is income generated from activities other than the main business operations. Examples include rental income from a property, interest earned on investments, or income from selling scrap materials.

In Tally ERP 9, the term capital refers to the total amount of funds invested in a business by its owner(s) or partners. It represents the owner's stake in the company and is a crucial component for understanding the financial health and structure of the business.

Key aspects of capital in Tally ERP 9:

- **Owner's Equity:**

Capital signifies the owner's equity or ownership interest in the business.

- **Financial Resources:**

It encompasses the financial resources, assets, and investments contributed to the business.

- **Initial Investment:**

It can include the initial investment made by the owner(s) at the start of the business.

- **Subsequent Contributions:**

It also includes any additional investments made by the owner(s) throughout the business's life.